

20STCP04290 20STCP04290

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Case Number: 20STCP04290 Hearing Date: September 14, 2026 Dept: 514

Seyde v.

Skyline Outdoor Media LLC

20STCP04290

Defendant's Motion to Stay

Tentative Ruling

The Court will call this matter. The Court's tentative ruling is to deny the motion.

Background

This action was filed in December 2020 and has a very long procedural history, only some of which is summarized here.

In the operative Fifth Amended Complaint

("FAC"), filed on March 16, 2023, Plaintiff David Seyde ("Plaintiff" or "Seyde") asserts causes of action for: (1) breach of contract; (2) breach of the implied covenant of good faith and fair dealing; (3) breach of fiduciary duty; (4) fraud; (5) intentional interference with contractual relations; and (6) aiding and abetting breach of fiduciary duty. The named defendants are Brian Kennedy ("Defendant" or "Brian"), Drake Kennedy ("Drake"), Regency Outdoor Advertising, Inc. ("Regency"), Skyline Outdoor Media LLC ("Skyline"), and NTGS Acquisition, LLC ("NTGS"). (The first names of Brian and Drake Kennedy are used in this ruling for ease of reference and to avoid confusion; no disrespect or excessive familiarity is intended.)

Seyde alleges (among other things) that he is owed millions of dollars for work that he performed during more than 19 years for Brian, Drake, and entities they owned or controlled. (FAC, ¶¶ 1, 4., 20-29) According to Plaintiff, after years of contentious litigation between Brian, Drake, and various other entities, the parties settled the case and executed a Binding Term Sheet (the "BTS"). (FAC, ¶¶ 3, 30-36, 41, 51, 60 & Exhs. A-D.) Under the terms of the BTS, the assets of various companies were to be sold, and Seyde, a key employee, was to receive between 1 and 1.95 percent of the sales proceeds, plus an additional payment of up to 2 percent for his work to consummate the sale. (FAC, ¶¶ 4, 36, 41, 51, 60 & Exhs. A-D.)

Netflix eventually purchased some of the companies' assets for \$122 million. (FAC, ¶¶ 6, 61-69.) Plaintiff received some of the money due to him, but Brian and Drake worked together to deny Plaintiff other payments. (FAC, ¶ 6, 44, 70-72.) Brian also worked to frustrate further sales. (FAC, ¶¶ 73-77.)

In subsequent litigation between Drake and Brian (Case No. 18STCP02617), a receiver was appointed. (FAC, ¶¶ 78-79.) Drake and Brian bid against each other, but there was no sale to a third party, as required by the BTS; ultimately Brian purchased the assets for less than what a third party would have paid. (FAC, ¶¶ 79-80.) Plaintiff was not paid. (FAC, ¶¶ 80-84.)

Plaintiff asserts the First, Second, and Fourth Causes of Action against Brian, Drake, Regency, and Skyline; the Third Cause of Action against Brian, Drake, and Skyline; and the Fifth and Sixth Causes of Action against NGTS, which is alleged to have financed Brian's asset purchase.

Brian filed an answer to the FAC on June 5, 2023. Brian generally denied the allegations in the FAC and asserted 47 affirmative defenses.

There is also a cross-complaint in this action. On July 1, 2022, Brian and Regency filed a cross-complaint against Seyde and Porter 24, LLC alleging causes of action for: (1) breach of fiduciary duty; (2) breach of implied covenant of good faith and fair dealing; (3) misappropriation of trade secrets; (4) common law right of publicity; (5)

statutory misappropriation of name and likeness; (6) trademark infringement; (7) intentional interference with prospective economic relations; (8) unfair business practices; and (9) unjust enrichment.

On January 22, 2025, the Court granted the motion of Defendant NTGS for summary judgment on Seyde's FAC. Seyde filed a notice of appeal, but progress in the appeal has been slow (to say the least). Seyde's opening brief was just recently filed (on or about September 8, 2026).

On August 19, 2026, Regency, Skyline, and Brian moved to stay further litigation of this matter pending resolution of the appeal. Seyde and Porter 24 LLC filed an opposition on August 31, and moving parties filed a reply on September 4.

Trial is set for September 22, 2026.

Legal
Standard

Code of Civil Procedure section 128, subdivision (a)(8), provides that the court has the power "[t]o amend and control its process and orders so as to make them conform to law and justice." This "entitles trial courts to exercise reasonable control over all proceedings connected with pending litigation ... in order to insure the orderly administration of justice." (*Rutherford v. Owens-Illinois, Inc.* (1997) 16 Cal.4th 953, 967.)

Request for Judicial Notice

Moving parties ask the Court to take judicial notice of the docket in Court of Appeal Case No. B345136. The request is granted.

Discussion

The Court begins with a procedural matter and an observation.

As a procedural matter, opposing parties have filed a public redacted version of their opposition papers and have lodged an unredacted version. The material redacted includes the medical and health information of Brian and Drake.

Assuming that the redacted information was produced in discovery subject to a confidentiality agreement or protective order, and assuming that proper notice was given to the moving parties, under California Rules of Court, rule 2.551(b)(3), this shifts the obligation to file a motion or application to seal to the party who produced the information. (Cal. Rules of Court, rule 2.551(b)(3)(B).) If no such motion or application is granted, the Court must promptly transfer the lodged records to the public file. (Ibid.)

The Court has not received a motion or application to seal. Should the lodged records now be placed into the public file?

Next, the Court makes an observation: both sides point the finger of delay at the other side, and both sides are correct. Seyde filed a notice of appeal in March 2025 and did not file the opening brief until September 2026, a delay of more than 17 months. Moving parties had notice of the appeal in March 2025 and did not file this motion to stay until August 2026, a delay of more than 16 months. These delays on both sides give rise to skepticism by the Court regarding the motivations of both sides. It is unclear whether Seyde is actually serious about pursuing its appeal, and it is unclear whether this motion is nothing more than last minute tactics by Brian, Regency, and Skyline to delay the trial.

Regardless of the parties' actual motivations, the Court has considered the motion and the competing interests and concerns. There is some degree of overlap between the matters currently before this Court and the matters on appeal: if the motion for a stay is denied and the appeal is successful, a second trial will be necessary. Because Seyde alleges that NTGS intentionally interfered with contractual relations and aided and abetting a breach of fiduciary duty, the trial against NTGS will necessarily require a second trial on the issues of whether there was any breach of contract or breach of fiduciary duty. Moreover, if there are two trials and Seyde prevails in both, there will also be overlapping issues of causation and damages.

Weighing against a stay, however, are substantial interests. Many of the issues in the matter set for trial next week have nothing to do with NTGS, which became involved only years after many of the allegations in the FAC. Defendants Brian and Drake are each advanced in age and have had health issues; if the trial is delayed for a year or two, there is no way to know whether they will be able to testify. Seyde filed the complaint

in this action in 2020, and he has an interest in the prompt resolution of the claims he has raised; there have already been substantial delays, and the stay requested by the moving parties would almost certainly lead to a further substantial delay. And, of course, the Court has an independent interest in the prompt resolution of all matters before it.

The Court has considered all of the evidence and argument presented by the parties (including, but not limited to, the arguments summarized above) and all of the facts and circumstances of this matter. Considering the totality of the circumstances, the Court exercises its discretion to deny the motion to stay.

Conclusion

The Court DENIES the motion to stay filed by Regency Outdoor Advertising, Inc., Skyline Outdoor Media LLC, and Brian Kennedy.

Moving Party is ORDERED to give notice.